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Chairman, CACP

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We are basically banking on Lord Indra as there is no new impetus for non-agricultural growth. There are announcements, a four-pronged strategy but there is no action plan.

Mukherjee spoke about farm gate to kitchen plate and pricing issues but the initiative on curbing post-harvest wastage, on promoting retail and cold chains could have been bolder.”

Bibek, when he says that the Budget doesn't do very much for India and it does not harm it either. As long as the Government doesn't interfere too much and provides the basic facilitation, and that is really the vision of the budget, I think India will grow. It is a mutually enforcing network.

WILL IT FUEL INFLATION?

Is it a profligate Budget?

Debroy: It gives the impression of lots being done we have talked earlier, and that public expenditure has been contained remarkably, including that on subsidies. Inflation happens, it's something outside the Budget and to address it also one has to look outside it. But there are certain indirect tax elements which will certainly contribute to inflation.

Dev: It is not profligate because the non-Plan expenditure is only 6 per cent and revenue expenditure is also low. Plan expenditure is 15 per cent so that way it is not profligate. Will it trigger inflation? Yes, the petroleum price hike will have a cascading effect.

Kumar: It is a non-profligate budget. It is a very prudent budget and has given the right signal to the market and investors that we are responsible guys and we are going to be fiscally prudent so this is a good place to invest. And on inflation I don't know what they could have done. The only thing they could have done was to take the retail thing forward in agriculture. They could have announced something or some incentive for those retail shops who are to procure directly from the farmers so that at least the whole trend of political opposition to retail would have been addressed.

Dev: They wanted to go Open Market Stabilisation operations. Then they announced economic cost of wheat at Rs 14.50 as a result of which the market price has increased. And in some cases the states said that the market price was lower than minimum support price. So they didn't buy. They couldn't offload but they could have done better.

Goyal: Essentially the problem is with reaching into the market. As we all know the Government does not have the capability to reach all markets and the public distribution system is simply not equipped to take this on. They should have done it but they are reacting late. You have to take action very quickly.

Debroy: On inflation, one thing I've not under-



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